JPMorganChase

March 14, 2025

National Coordination Office
Networking and Information Technology Research and Development Program
2415 Eisenhower Avenue, Alexandria, VA 22314
Attention: Faisal D'Souza

Re: AI Action Plan Request for Information

To Whom It May Concern:

JPMorganChase appreciates the opportunity to respond to the National Science Foundation (NSF) and Networking and Information Technology Research and Development (NITRD) National Coordination Office's (NCO) Request for Information (RFI) on the Development of an Artificial Intelligence Action Plan ("AI Action Plan"). As a leader in the financial services sector, we recognize the transformative potential of artificial intelligence (AI) and the importance of a cohesive national strategy to harness its benefits while addressing associated risks. JPMorganChase is a U.S.-based company that serves millions of customers, clients, and communities in over 100 global markets. Our company Purpose is to Make Dreams Possible for everyone, everywhere, every day—undergirded by our Principles, which guide how we work, and include Exceptional Client Service; Operational Excellence; A Commitment to Integrity, Fairness and Responsibility; and A Great Team and Winning Culture.

We are encouraged by the government's prioritization of a strategy that advances the interests of the United States as global leader in AI, ensuring that we and other democratic nations remain at the forefront of AI innovation and leadership. Below, we offer our perspectives on how the nation can optimize such a strategy to promote innovation, ensure security, and broadly extend the benefits of AI capabilities.

I. AI and JPMorganChase

JPMorganChase is a leader in the financial services industry with a history of leveraging technology to enhance operations, improve customer experiences, and manage risks: like many financial service firms, we have been using AI for the better part of a decade. AI technologies will continue to be a business enabler as the financial services ecosystem evolves. Consequently, we are invested in leveraging their recently-accelerated commercial development to support relevant aspects of the work that we do. Last year, our Chairman and CEO Jamie Dimon wrote in our Annual Shareholder Letter, "While we do not know the full effect or the precise rate at which AI will change our business — or how it will affect society at large — we are completely convinced the consequences will be extraordinary and possibly as transformational as some of the major technological inventions of the past several hundred years."

We do not treat AI as an isolated project or program. As with all broadly-enabling technologies, it is a core component of how we think about investing in our people, our infrastructure, our operations, and our product offerings. With over 500 AI and ML use cases in production, we are at the forefront of applied AI innovation and deployment in financial services globally.[1] We view these technologies as a business imperative that can help us serve our clients and communities better and become more efficient in many of our day-to-day activities. Our experience with AI spans various domains, including such use cases as fraud detection, risk, and personalized financial services. We have also invested in developing internal AI capabilities, such as our LLM Suite, to enhance productivity and innovation across the firm.

We also see robust, thoughtful risk management as a critical aspect of effective AI deployment—for our firm, and at the scale of the American and global economies. Our commitment to AI as an enabler of our business is reflected across the breadth of our operations, robust governance frameworks, and investment in talent and technology. We employ a comprehensive approach to AI that integrates security imperatives, a strong prioritization of risk management, compliance with our regulatory obligations, and business and strategic objectives, ensuring that our AI initiatives align with our broader mission to serve our clients and communities effectively and responsibly. Clearly, AI comes with risks, which need to be rigorously managed; fortunately, the majority of these risks are not unique to AI technologies. JPMC has a thorough, well-established risk and control framework that helps us proactively stay in front of AI-related risks. The governance and risk management of AI is integrated into our existing firmwide risk management and control frameworks relating to model risk, data governance, technology controls, and operational risk. These frameworks are based on existing bank laws, regulations, and guidance that have historically been, and remain, applicable to the use of AI.

Through our extensive experiences in responsibly governing and deploying AI systems, JPMorganChase has acquired unique insights into the practical applications and challenges of AI in the financial sector. By sharing our expertise and collaborating with policymakers, we hope to contribute to the development of a national AI strategy for the U.S. that supports sustainable growth and innovation in the financial services industry, ultimately reinforcing the United States' leadership in AI.

II. AI Regulation in Financial Services

Existing regulations and risk guidance for banks are robust, and have provided a durable and adaptable architecture for AI risk management. These frameworks play an instrumental role in informing and enabling our sector’s adoption and deployment of AI systems. By building on these established practices, regulators can create a supportive environment for AI innovation

[1] JPMorganChase has, for multiple years running, scored atop the Evident AI Index, which provides a benchmark of AI adoption and maturity throughout the banking sector. The Index evaluates 50 of the largest banks in North America, Europe, and Asia against 90 individual indicators drawn from millions of publicly available data points. A link to the full 2024 results is available at https://evidentinsights.com/ai-index/.

while safeguarding the stability and integrity of the financial system, thereby enhancing the United States' competitive advantage in the global financial landscape.

A. Utility of Existing Frameworks

Across the financial sector, the use of AI is generally subject to the safety and soundness requirements of our prudential regulators (the FRB, OCC and FDIC); guidance on model and third party risk management; requirements relating to the management, governance, and use of data including privacy, cybersecurity, and other information security requirements; and additional policies. Depending on the use case, the use of AI by financial institutions is also subject to activity-specific requirements such as the regulations of market regulators, including the SEC and CFTC, that have robust regulatory frameworks around risk management and anti-market manipulation that apply to various markets activities regardless of the technology used, or consumer protection laws and regulations such as those relating to anti-discrimination, fair lending, and unfair or deceptive acts and practices.

Where AI may amplify existing risks or presents new risks, and as the technology evolves, banks continue to adapt their frameworks accordingly, and are leveraging AI governance principles as well as guidance by policymakers on specific AI risks. As such, we believe the existing regulatory landscape as it relates to banks is fit for purpose and adequately addresses the risks of AI. It also provides a flexible, risk-based framework for banks to address new or elevated risks as they arise—a useful model, we think, for other sectors which may currently face less structure in AI risk management.

Rather than re-inventing these frameworks, government agencies should confirm and clarify the applicability of existing rules to AI and provide additional guidance where necessary, and potentially consider how to harmonize such rules with emerging state and local regulation. This approach ensures that AI innovations are integrated into existing regulatory structures without unnecessary disruption. By leveraging existing frameworks, regulators can provide clear and consistent guidance to financial institutions, facilitating the responsible adoption of AI technologies and reinforcing the United States' position as a leader in financial innovation.

B. Value of a Sectoral Approach

A sectoral approach allows regulators to tailor their oversight to the specific characteristics and needs of each industry, ensuring that AI regulations are both effective and proportionate. In the financial services sector, a sectoral approach is particularly important given the global complexity and interconnectedness of financial markets. Existing agencies—such as the OCC and Federal Reserve—are best suited to oversee AI implementation within the financial services sector, where regulatory regimes are well-established, and where interoperability of the global financial system is an important consideration. These agencies have the expertise and infrastructure to effectively monitor and respond to AI-related risks and ensure compliance with existing laws.

By leveraging their deep understanding of the industry, financial regulators can develop targeted policies that address the unique risks and opportunities associated with AI. This includes fostering innovation in areas such as credit underwriting and fraud prevention, while ensuring that AI applications do not compromise consumer protection or financial stability.

Financial regulators should verify the adequacy and applicability of existing requirements, and where relevant provide clarity on how to apply those rules in the context of AI. For example, regulators may consider updates to model risk management guidance to be more reflective of bank operations. While the existing model risk management guidance has risk-based components, it contains a number of absolutes like the requirement for validation. As such, the language should be clearer on the requirements (or lack thereof) for validation for the lowest risk activities. Further guidance could help banks differentiate between high- and medium-risk AI use cases and issues and identify appropriate safeguards to use AI responsibly within the existing risk framework. However, overly prescriptive safeguards or prohibitions on the use of AI could become a barrier to valuable use cases if banks do not have appropriate flexibility to test and adapt new AI tools.

We have prioritized engagement with our regulators on AI issues, especially recently as AI capabilities have advanced. By working closely with industry stakeholders, regulators can foster an environment that supports the responsible development and deployment of AI technologies, thereby strengthening the United States' leadership in the global financial sector.

C. Importance of a Unified Federal Framework

Differences in regulatory approaches across jurisdictions result in increased complexity and compliance costs for banks and pose concerns for management of AI-related risks. While this is not unique to AI, the rapid evolution of state-level legislation, which ranges from comprehensive AI bills to a variety of regulations addressing related topics, creates a significantly more fragmented landscape for compliance with respect to AI. The expansion of the number of regulations and regulators regulating or seeking to regulate AI pose an additional layer of uncertainty and compliance costs for banks. In addition, many banks operate customer branches across jurisdictions in the U.S., or globally, with additional customers beyond such physical footprint, which subjects banks to differing legislative and regulatory requirements, creating compliance challenges. The need to determine how to comply with varying laws, and to understand their differences and impacts to banks' businesses, results in heightened compliance and legal risks and increased compliance costs – in some instances, without corresponding risk management benefits.

As a result, differences in jurisdictional approaches stifle innovation and impede the successful rollout of safe and secure AI products and services in the financial services sector, creating cascading effects for consumers who are unable to enjoy the benefits that could be provided from the use of AI or the reduction of costs that could be passed on to consumers. In addition, different regulatory approaches may result in varying product and service availability across jurisdictions, resulting in consumer confusion as to what products and services are available to them, especially for those consumers who operate or live in multiple locations. As such, consistency and certainty around AI and related data requirements across jurisdictions is imperative to give banks the confidence that they can build new products and services that meet the needs of consumers while not running afoul of a patchwork of domestic and international requirements. To avoid the creation of a patchwork of potentially inconsistent and/or contradictory state, local and sector-specific AI regulations, U.S. lawmakers and federal regulators should clearly express their intent to exclusively occupy the field in issuing AI-related standards and regulation for banks. Any new laws, whether enacted at the federal, state or local level, that cover industries outside of banks should acknowledge the regulatory framework covering banks and provide entity-level exemptions for banks that are already subject to supervision and existing financial law.

D. Necessity of a Level Playing Field

The regulation of AI in the financial services sector should apply to any entity that uses AI to provide financial services, not only banking organizations. Regulation that is consistent and comparable across entities that provide financial services – banks and non-banks, new firms and incumbents, and large and small firms – will best protect consumers. Currently, only banks are subject to model risk management guidance from regulators, leaving non-banks that provide financial services outside of such regulatory perimeters. Further, non-banks are not regularly or consistently supervised by federal regulators. For example, while non-bank lenders are subject to fair lending laws, these entities have no obligation to follow model risk management in their use of AI for credit underwriting. A lack of consistent standards between banks and non-banks that provide financial services puts consumers at risk by not affording equal protections to all consumers.

To mitigate such risks, non-banks that provide financial services should be subject to similar requirements and oversight as banks with respect to their use of AI. This could be accomplished by the expansion of banking regulators' ability to supervise these entities or through separate legislation or regulation. As noted by the OCC, "the prospect of banking being re-bundled by nonbank entities outside of the bank regulatory perimeter bears careful monitoring because of the financial stability implications." Irrespective of the approach that is adopted, regulators should recognize and leverage existing risk management frameworks and regulations to which banks are subject to ensure appropriate and safe implementation of AI across the financial services industry.

Third-party vendors must be integral partners in strengthening controls for a resilient AI ecosystem. This includes ensuring that third-party AI models and tools meet the same standards of safety, security, and accountability as those developed in-house. By establishing consistent standards across the industry, regulators can promote fair competition and prevent regulatory arbitrage.

A level playing field is essential for fostering innovation and ensuring that consumers have access to high-quality financial services. By promoting consistency and ensuring that non-bank entities, such as fintech companies, are subject to the same regulatory requirements as traditional financial institutions, the government can enable the growth of a diverse and dynamic financial services ecosystem, reinforcing the United States' position as a global leader in financial innovation and a leader in securing the safety and soundness of the global financial system.

III. General Tenets of Optimal AI Policies

As the U.S. government contemplates its approach to harnessing AI's potential, there are general policy principles that we believe promote positive outcomes for businesses and innovation across emerging technology issues.

In particular, we advocate for observing the following key tenets:

- **Balancing Risk Reduction with Innovation:** Regulations should not impose obstacles to the cautious, risk-conscious adoption of AI. A risk-based approach allows for innovation while managing potential risks. This includes encouraging the development of AI solutions that enhance financial inclusion and consumer protection. By focusing on outcomes rather than prescriptive rules, regulators can create a flexible framework that supports the responsible use of AI technologies. Balancing risk reduction with innovation requires a nuanced understanding of the potential benefits and challenges of AI. By adopting a risk-based approach, regulators can tailor their oversight to the specific risks associated with different AI applications. This includes considering factors such as the complexity of the AI model, the sensitivity of the data being used, and the potential impact on consumers. By taking a proportional approach, regulators can ensure that AI regulations are both effective and supportive of innovation, thereby enhancing the United States' competitive advantage in the global AI landscape.
- **Enabling Public-Private Partnership**: Partnerships between regulators and private institutions is crucial for proactive issue resolution. For example, we advocate for partnerships that address AI-enabled fraud and cybersecurity threats, leveraging the expertise and resources of both sectors to develop effective solutions. Together, regulators and industry stakeholders can work to identify emerging risks and develop strategies to mitigate them before they become systemic issues. By working with industry stakeholders, regulators can gain insights into the practical challenges and opportunities associated with AI. This includes sharing best practices, developing joint initiatives, and creating forums for dialogue. By building strong partnerships, regulators, and industry stakeholders can work together to create a regulatory environment that supports the responsible development and deployment of AI technologies, reinforcing the United States' leadership in AI innovation.

- **Pursuing Technology-Neutral, Performance-Based Approaches**: Rather than regulating specific technologies, governments should focus on the outcomes produced by AI or other algorithmic models to ensure they comply with applicable laws and other policy. This approach encourages innovation and adaptability, allowing firms to choose the best tools and methods to achieve regulatory objectives. By focusing on performance rather than process, regulators can create a flexible framework that supports the responsible use of AI technologies and enhance the United States' competitive advantage in the global AI landscape.
- **Ensuring a Risk-Based, Proportional Approach**: Government or regulatory requirements should align with the specific risks of each use case, ensuring that regulations are not overly burdensome. This includes tailoring compliance obligations to the size and complexity of the institution and the potential impact of the AI application. By taking a proportional approach, regulators can ensure that AI regulations are both effective and supportive of innovation.

IV. Recommended Features of a National AI Action Plan

From our vantage as a proponent of innovation, and as an industry-leading business with global reach, we have identified several components of the AI ecosystem that we believe will play an important role in advancing and sustaining U.S. leadership in the technology's development, governance, and adoption. These components would, in our view, be additive to the government's AI Action Plan.

A. Assert American Leadership to Promote Harmonization of International Regulatory Approaches to AI

International regulatory harmonization is essential for fostering innovation and ensuring that U.S. businesses that deploy AI can operate globally. By contributing to and collaborating in international and multilateral settings, the U.S. can support the development of adaptable standards and frameworks that promote consistency and interoperability across jurisdictions.

The United States is uniquely positioned to lead international initiatives to develop consistent global standards, which can facilitate cross-border AI governance, reduce unnecessary compliance burdens for multinational firms, and reinforce a global governance system for AI aligned to democratic values, in line with the priorities of the last several U.S. presidential administrations. This includes establishing or participating in appropriate multilateral forums, championing best practices, and establishing joint initiatives with other governments. By facilitating international cooperation, the U.S. can help create a cohesive regulatory environment that supports global businesses and reinforces the United States' leadership in the global AI landscape. As reflected in our last Annual Shareholder Letter, these same priorities ensure that companies like JPMorganChase, a company that historically has worked across borders and boundaries, can do our part to ensure that the global economy is safe and secure—and can continue to play a forceful and essential role in advancing economic growth.

B. Fostering Multistakeholder Standards Development

Multistakeholder standards development is essential for fostering innovation and ensuring that AI technologies are used responsibly. By establishing world-leading collaborative forums, the U.S. can drive and support the global development of technical standards and frameworks that shape the trajectory of these technologies for decades to come.

As home to the world's greatest and most innovative technology companies, the United States is the intuitive home for such collaborative efforts. We are supportive, for example, of NIST's efforts in developing AI standards and encouraging participation from a diverse range of stakeholders, including industry, academia, and civil society. Through the development of a national AI Action Plan, the government has an opportunity build on these efforts and ensure this work remains anchored within the United States and informed by our leading AI innovators and our national interests and values.

C. Maintaining American Leadership in Science and Technology Research and Development

American scientific research and development (R&D) is an investment in the endurance of our country's global leadership in technology and AI. By investing in R&D, the U.S. can sustain the innovation environment that has powered economic growth, expanded access to digital technology, and contributed to scientific breakthroughs. JPMorganChase has benefited from the fruits of multidisciplinary, government-funded R&D investments, including through partnerships with leading research centers and the deployment of resulting innovations.

The AI Action plan ideally will reflect the important role that R&D plays in securing American technological leadership—in a holistic investment strategy that supports not just foundational AI investment, but scientific research and development across a range of related and necessary fields which will increasingly be impacted by AI (and necessary in shaping it). We are heartened by bipartisan proposals to further these investments, including through efforts to provide access to compute resources and datasets for researchers and startups, supporting the development of new AI technologies and applications, and promoting collaboration and cooperation among stakeholders. We believe such commitments will drive innovation and maintain the U.S.'s competitive edge, ensuring that American firms remain at the forefront of AI development and that the U.S. remains a global leader in science and engineering.

D. Securing National AI Infrastructure

Securing national AI infrastructure will promote trust in AI systems, ensuring businesses and citizens can leverage AI systems with confidence, while mitigating threats to U.S. national security.

The United States should extend its leadership in global cybersecurity standards to the emerging field of artificial intelligence. By aligning voluntary standards with existing NIST frameworks like the Cybersecurity, Privacy, and AI Risk Management Frameworks (RMF), AI systems can be designed with strong safeguards against cyber threats and adversarial manipulation. Enhanced collaboration between government, industry, and international standard-setting bodies will promote consistency across jurisdictions, preventing regulatory fragmentation and accelerating the adoption of best practices for AI security and reliability, particularly in the financial sector. Additionally, supporting the industry-driven financial sector profile of the AI RMF can enable critical infrastructure entities to effectively manage risk while deploying new technologies.

As adversaries increasingly use AI to bolster cyberattacks and fraud, which threatens financial stability, it is crucial to improve the sharing of threat intelligence related to AI-enabled attacks. This can be achieved with industry-specific information-sharing hubs and Sector Risk Management Agencies (SRMAs). In the financial sector, regulators and security agencies should continue exchanging timely insights on emerging AI-driven threats, such as AI-generated phishing scams and deepfake fraud. Strengthening cross-sector communications, facilitated by entities like the Department of Homeland Security (DHS), to share threat intelligence, attack patterns, and mitigation strategies will further help the financial sector defend against AI-enabled threats and enhance the resilience of critical infrastructure.

While advanced AI models have the potential to reinforce American technological leadership, we recognize that in the wrong hands, advanced AI capabilities can pose risks to U.S. national security. AI models can enable advanced military, intelligence, and offensive cyber applications, lower the barriers to entry to develop weapons of mass destruction (WMD), and assist in human rights violations. To mitigate these risks, a clear, consistent, and transparent export control framework is necessary to ensure that malicious overseas actors lack access to advanced hardware and closed-weight dual-use models. At the same time, export control policy must ensure that U.S. firms retain access to global markets and are able to reinvest in research and development to push the technological frontier forward.

To support the growing demand for data centers, the AI Action Plan should account for the importance of expanding America's energy capabilities. This may include bipartisan efforts to increase America's electrical capacity, expedite permitting processes, and promote a range of viable energy sources, including enhanced access to alternative energy.

E. Combatting the Threat of AI-Enabled Fraud and Scams

Advances in generative AI and synthetic media have introduced new threats to customers outside of their traditional banking experience, and represent new threats to broad-scale consumer trust in the financial system. These developments have motivated our significant investment in multistakeholder work addressing AI-enabled deceptive content, and fraud and scams, including with relevant U.S. public and private sector partners. JPMorganChase is supportive of federal proposals to empower civil enforcement agencies to combat AI-enabled fraud, and our teams are working closely with lawmakers and law enforcement agencies to ensure bad actors can be held to account.

Public-private partnerships are especially valuable in addressing risks to consumers that may stem from such fraudulent and abusive uses of AI. By working with private sector stakeholders, the U.S. can participate in the development of strategies to combat AI-enabled fraud and scams, leveraging the expertise and resources of both sectors to develop effective solutions. In this context, we emphasize the importance of working with industry to establish robust training practices for recognizing and mitigating AI-based fraud tactics. Additionally, it is vital to identify actions for U.S. and state governments to bridge the gap between physical and digital government credentials. This includes enabling the validation of identity information against government records and repositories to ensure safe, secure, and reliable transactions. Moreover, enhancing financial institutions' ability to trust and digitally validate government ID documents and other digital attributes during enrollment and authentication processes is essential for strengthening security and trust in digital transactions.

F. Supporting a Future-Ready American Workforce

Supporting a future-ready American workforce is critical to the long-term success of our nation's AI leadership. To ensure a skilled workforce, it is crucial to attract and retain top talent in AI and related fields, ensuring that the United States remains a global leader in technological innovation. As AI shifts the nature and the rate at which job tasks transform, many workers will have to embrace lifelong learning to build skills to be resilient in the face of AI and other technological changes.

In recognition of these shifts, JPMC provides youth and adult apprenticeships in areas including technology, business operations, and finance, and our $350 million global workforce investment has enabled us to pilot new education and training programs and improve connectivity between among employers and educational institutions. Leveraging insights from these investments, the firm is committed to advancing a broad policy agenda to promote lifelong learning and build worker digital resiliency. This includes supporting the Workforce Innovation and Opportunity Act (WIOA) reauthorization to strengthen the public workforce and Workforce Pell, which would allow Federal Pell Grants to be used for high-quality, short-term programs important for reskilling. We look forward to working with policymakers to build upon the impact of these investments and develop additional strategies for maintaining a skilled and productive workforce.

By developing training programs and partnering with educational institutions, the U.S. can build a robust and adaptable workforce that is capable of meeting the challenges and opportunities presented by AI. In addition to investing in workforce resilience, we urge the U.S. government to more broadly consider the potential labor market and economic impacts of AI as it is scaled across the economy, including by investing in foundational research to better understand the current and potential future implications of such transitions in support of informing supportive, evidenced-based policies.

Strategic investments in human capital, workforce resilience, and overall health of the U.S. workforce and economy will not only drive economic growth but also ensure that the benefits of AI are broadly shared across society.

Concluding Statement

JPMorganChase is committed to supporting the development of a national AI strategy that fosters innovation and ensures America's continued leadership in shaping these transformational technology systems.

We are grateful for the opportunity to share our reflections on ways that the AI Action plan can advance the strategic interests of the United States, and promote regulatory frameworks that are adaptable, risk-based, and provide a level playing field for innovation and invention. In addition, by promoting international cooperation, investing in research and development, and fostering public-private partnerships, the US can establish an environment that is favorable to businesses and organizations deploying AI technologies in risk-conscious ways.

We stand ready to work with the federal government and other stakeholders to ensure that the future of AI is one that enriches the communities and customers we serve. Together, we can chart a path forward that secures American leadership in AI and drives sustainable growth and innovation for years to come.

We look forward to continued engagement on these critical issues.

Sincerely,

JPMorganChase & Co.